



May 19, 2023

The Honorable Representative Dade Phelan
Speaker of the Texas House of Representatives
Room 2W.13
P.O. Box 2910
Austin, TX 78768

RE: SB 2105 – Oppose

Dear Speaker Phelan:

We write to respectfully **oppose SB 2105**, a bill relating to the regulation of “data brokers.”¹ We agree that Texans deserve meaningful privacy protections supported by responsible industry data collection and use policies. However, SB 2105 would subject just one type of entity in the economy to unnecessary, confusing, and contradictory requirements at a time when Texas is already considering more comprehensive approaches to privacy under other privacy bills, including HB 4.² We therefore ask you to decline to move SB 2105 to the next stage in the legislative process.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.³ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with you further on the specific issues with the bill outlined below, which represent a non-exhaustive list of select concerns we have with the legislation.

I. Data brokers are essential to a healthy and competitive marketplace.

Data brokers are vital to new and small businesses’ ability to thrive and find new customers. Much like supply chain partners create value in various sectors of the economy, data brokers serve as intermediaries that engage in specialized techniques and practices to help their clients find and attract new and existing customers. Responsible data brokers enable small businesses to leverage more than just the data they receive from direct interactions with their niche customer base. Legal requirements that ignore the ways in which data brokers provide value to the economy threaten to impact small businesses the most. Information obtained from data brokers makes it possible for small and mid-size companies with fewer resources to spend on advertising to reach as many new potential customers as possible and in the most efficient and accountable ways possible. In large part due to services provided by data brokers, small and mid-sized businesses are empowered to compete with larger companies who have more

¹ Texas SB 2105 (Reg. Sess. 2023), located [here](#).

² Texas HB 4 (Reg. Sess. 2023), located [here](#).

³ John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

resources to allocate to broad marketing efforts. SB 2105 would undermine new and small businesses' ability to compete and reach customers.

II. The bill should not require data brokers' privacy policies to include specific, incremental language to be prescribed by the Texas Secretary of State, because HB 4 already contains robust disclosure requirements.

As presently drafted, SB 2105 would require regulated entities to post a "conspicuous notice" disclosing that the entity is a "data broker" and containing specific "language provided by rule of the secretary of state," in addition to other disclosures.⁴ This requirement would confuse consumers and impose unnecessary notice requirements on data brokers, as the comprehensive privacy legislation Texas is considering under HB 4 already requires all regulated entities—including data brokers—to post privacy notices containing specific terms.⁵ SB 2105's notice requirements, when coupled with HB 4's requirements, would confuse consumers, contribute unnecessary length to privacy notices, and lead to notice fatigue. Additionally, requiring language specifically prescribed by the Secretary of State to be included would add even more unnecessary length and complexity to data brokers' privacy policies, which are intended to be simple and understandable for consumers. If every state were to permit a regulatory agency to impose specific privacy policy language requirements for data brokers, data brokers' privacy notices would become untenably complex and difficult to understand. No other state data broker registration law requires data brokers to provide specific language for disclosures to be set by regulation. The specific privacy policy language requirements in SB 2105 should be removed from the bill.

III. SB 2105's rulemaking authority would enable Texas's privacy standards to diverge even further from privacy requirements in other states.

In the current absence of a national standard for data privacy at the federal level, it is critical for Texas legislators to seriously consider the costs to both consumers and businesses that will accrue from a patchwork of differing privacy standards across the states. Harmonization with existing privacy laws is essential for creating an environment where consumers in Texas and other states have a consistent set of expectations, while minimizing compliance costs for businesses. The rulemaking authority in SB 2105 would allow the bill to deviate even further from existing privacy laws than it already does.⁶

Compliance costs associated with divergent privacy standards are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 ("CCPA") concluded that the initial compliance costs to California firms for the CCPA alone would be \$55 billion.⁷ Additionally, a study on another proposed privacy bill found that the proposal would have generated a direct initial compliance cost of between \$6.2 billion to \$21 billion, and an ongoing annual compliance cost of between \$4.6 billion to \$12.7 billion for companies.⁸ Other studies confirm the staggering costs associated with different state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion

⁴ SB 2105 at Sec. 509.004.

⁵ HB 4 at Sec. 541.102.

⁶ SB 2105 at Sec. 509.010.

⁷ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations* at 11 (Aug. 2019), located at <https://www.oag.ca.gov/sites/all/files/agweb/pdfs/privacy/ccpa-isor-appendices.pdf>.

⁸ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida* at 2 (Oct. 2021), located at <https://floridataxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

dollars over a 10-year period and small businesses shouldering a significant portion of the compliance cost burden.⁹ Texas should not add to this compliance burden for businesses and should instead opt for an approach to data privacy that is in harmony with other laws and does not permit rulemaking that would allow the bill's standards to further depart from existing privacy standards in other jurisdictions.

IV. SB 2105's enforcement structure may permit private actions, which would be unworkable for consumers and businesses alike.

Violations of SB 2105 would be “actionable” under Texas’ deceptive trade practices law, which permits private actions.¹⁰ Including a private right of action in SB 2105 would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions would flood Texas’ courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.¹¹ Additionally, establishing a private right of action would have a chilling effect on the state’s economy and data brokers’ attempts to innovate by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced the claims are without merit.¹² Beyond the staggering cost to businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, a private right of action would serve as a windfall to the plaintiff’s bar without focusing on the business practices that actually harm consumers. We therefore encourage you to remove the private right of action from SB 2105 and make enforcement responsibility the purview of the Texas Attorney General alone.

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We and our members support privacy protections for Texans. We believe, however, that SB 2105 takes the wrong approach to such matters. We therefore respectfully ask you to decline to advance the bill.

Thank you in advance for your consideration of this letter.

Sincerely,

⁹ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

¹⁰ SB 2105 at Sec. 509.008.

¹¹ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act (“TCPA”) showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

¹² For instance, in the early 2000s, private actions under California’s Unfair Competition Law (“UCL”) “launched an unending attack on businesses all over the state.” American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It’s Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating “APR” instead of spelling out “Annual Percentage Rate” in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state’s broad private right of action under the UCL. *Id.*

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
Executive Vice President, Government Relations
American Association of Advertising Agencies, 4A's
202-355-4564

Clark Rector
Executive VP-Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria, CIPP, CISSP
Executive Director
Digital Advertising Alliance
347-770-0322

CC: Members of the Texas House of Representatives

Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP